INTRODUCTION

Differences between tax laws and financial accounting standards result in differences between accounting profit (i.e., income before taxes on the income statement) and taxable income, or income computed under the prevailing tax laws in a given jurisdiction. These differences can be temporary or permanent. Temporary differences result in deferred tax assets and liabilities on the balance sheet and are important for capturing the income tax effects of all current period activities, even if tax consequences occur in the future. Current and deferred income tax expenses are used to calculate the effective tax rate, which is commonly used by analysts in estimating after-tax profitability measures like free cash flow. Given temporary and permanent differences, the effective tax rate typically differs from the statutory and cash tax rates for an issuer. Company disclosures of income tax related information in the notes to financial statements is typically one of the most extensive note disclosures.

Learning Module Overview

- Accounting profit is reported on a company's income statement in accordance with prevailing accounting standards and does not include a provision for income tax expense.
- A company's taxable income is its income subject to income taxes under the tax laws of the relevant jurisdiction and is the basis for its income tax payable (a liability), which appears on its balance sheet.
- Taxable and deductible temporary differences reverse in future periods while permanent differences do not.
- Deferred tax assets and liabilities arise from temporary differences in accounting profit and taxable income.
- Deferred tax assets represent taxes that have been paid but have not yet been recognized on the income statement, and deferred tax liabilities occur when financial accounting income tax expense is greater than regulatory income tax expense.
- The changes in deferred tax assets and liabilities are added to income tax payable to determine the company's income tax expense as it is reported on the income statement.
- Income taxes payable are primarily determined by the geographic composition of taxable income and the tax rates in each jurisdiction.
- Three types of tax rates are relevant to analysts: the statutory tax rate, the effective tax rate, and the cash tax rate.
- The notes in the financial statements disclose a reconciliation of the statutory tax rate to the effective rate and identify the items that significantly contribute to a temporarily high or low effective tax rate.
- Companies present and disclose income tax–related information through income statements, balance sheets, and income tax note disclosures.
- Companies will disclose how the income tax provision was derived from the US federal statutory rate.
- In the income tax note disclosure, companies will provide detailed information about the derivation of the deferred tax assets and deferred tax liabilities.

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Discussions
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